

Professorship of Corporate Law
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Introduction to Business Law

Standard Business Terms

Summer Term 2026



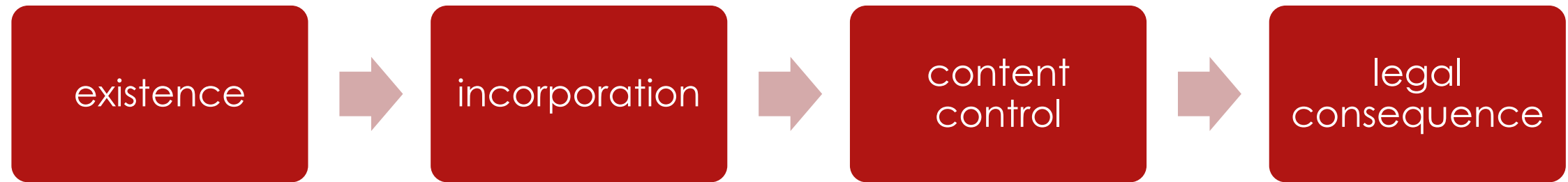
Standard Business Terms

Revision questions	
Case 1	• Existence of standard business terms • Content control • Legal consequence
Case 2a)	• Incorporation • Content control
Case 2b)	• Damage claims
Case 3	• Conflicting standard business terms

HOMework

HOMework

What are the main steps of a standard business terms examination?



§ 307	§ 308	§ 309
Test of reasonableness of content	Prohibited clauses with the possibility of evaluation	Prohibited clauses without the possibility of evaluation



→ Read the legal text and highlight the essential requirements (!)

§ 309 BGB

Prohibited clauses **without** the possibility of evaluation

Even to the extent that a deviation from the statutory provisions is permissible, the following **are ineffective** in standard business terms:

1. (Price increases at short notice) a provision providing for an increase in payment for goods or services that are to be delivered or rendered **within four months** of the entering into of the contract; this does not apply to goods or services delivered or rendered in connection with continuing obligations;

()...

No room for interpretation

§ 308 BGB

Prohibited clauses **with** the possibility of evaluation

In standard business terms the following **are in particular ineffective**

1. (Period of time for acceptance and performance) a provision by which the user reserves to himself the right to **unreasonably long or insufficiently specific periods of time** for acceptance or rejection of an offer or for rendering performance; this does not include the reservation of the right not to perform until after the end of the period of time for withdrawal under section 355 subsections (1) and (2);

(...)

Interpretation/weighing of the arguments

§ 307 II BGB

Test of reasonableness of contents

(2) An **unreasonable disadvantage** is, in case of doubt, to be assumed to exist if a provision

1. is not compatible with essential principles of the statutory provision from which it deviates, or
2. limits essential rights or duties inherent in the nature of the contract to such an extent that attainment of the purpose of the contract is jeopardised.

Interpretation/weighing of the arguments

What are the consequences when a clause fails the content control?

- Clause that does not pass the content control is ineffective, § 307 I 1 BGB
- Rest of the contract is effective, § 306 I BGB
- Ineffective clauses are replaced by statutory provisions, § 306 II BGB
- No reduction of an invalid clause to its valid core or part
 - Usually: Total ineffectiveness
 - But: Blue pencil test

Case 1 – Case facts

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Buyer B wants to buy a car from car dealer D. D presents to her a two-page document during the negotiation and asks B to sign it. This document, which D uses for the first time, has the heading: “Standard car sales contract”. Among other provisions, the following clause is included:

“6.1.: Any liability for damages caused in the framework of the delivery of the good is excluded. An exception is made for the liability in cases of intent.”

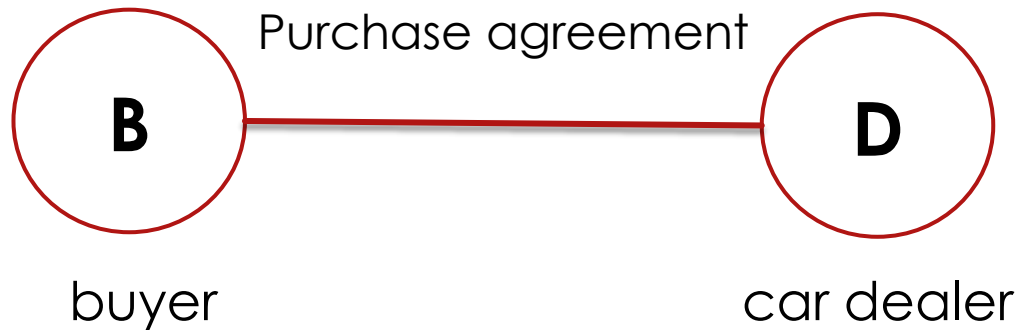
B skims the document and signs it.

Question: Did D use effective standard business terms?

Problem?

Case 1 – Sketch

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“6.1.: Any liability for damages caused in the framework of the delivery of the good is excluded. An exception is made for the liability in cases of intent.”

effective?

- **Question:** Did D use effective standard business terms?

Case 1 – Solution

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A. Effective standard business terms (§§ 305 et seqq. BGB)

I. Existence of standard business terms (§ 305 I 1 BGB) ()

= Standard business terms are all **contract terms pre-formulated** for **more than two contracts** which **one party to the contract (the user) presents** to the other party upon the entering into of the contract (§ 305 I 1 BGB)

1. Contract term ()

- The document includes clauses for the purchase agreement

2. Pre-formulated ()

- D prepared and used the two-page document

3. For more than two contracts ()

a) Rule: More than two contracts (§ 305 I 1 BGB) ()

- D used the document for the first time

b) Exception: Consumer contracts (§ 310 III No. 2 BGB) ()

= Consumer contract (§ 310 III BGB)

- B is a consumer, § 13 BGB
- D is a trader, § 14 I BGB

c) Interim result: For more than two contracts ()

4. Presented ()

- D asked B to sign it while they were concluding the contract
- B had no influence on these clauses

5. Interim result: Existing SBT ()

Case 1 – Legal opinion style

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Example of a legal Opinion for I.

A. D might have used effective standard business terms according to §§ 305 et seqq. BGB.

I. Acc. to § 305 I 1 BGB, standard business terms are all contract terms that have been **pre-formulated** for **more than two contracts** which **one party to the contract (the user) presents** to the other party upon the entering into of the contract.

1. The document includes specific clauses for the purchase agreement. These qualify as contractual terms.

2. D prepared the document prior to the conclusion of the contract. It was not drafted individually. The pre-formulation requirement is met.

3. The terms must be intended for use in more than two contracts, § 305 I 1 BGB.

a) D used the document for the first time.

b) However, an exception could apply in consumer contracts, pursuant to § 310 III No. 2 BGB. B qualifies as a consumer under § 13 BGB, as he was acting for private purposes. D qualifies as a trader under § 14 BGB, acting in the course of his business. Therefore, B and D concluded a consumer contract. The exception is applicable.

c) The document is considered for more than two contracts.

4. It must be determined whether the terms were presented by one party (the user) to the other. D asked B to sign the document while they were concluding the contract. B did not influence the content of the terms. D presented the terms unilaterally. Thus, D is considered the user.

5. The document constitutes standard business terms acc. to § 305 I 1 BGB.

II. Incorporation of standard business terms into the contract ()

1. Explicit reference (§ 305 II No. 1 BGB) ()

- D presents B a two-page document during the conversation

2. Opportunity to take notice in an acceptable manner (§ 305 II No. 2 BGB) ()

- B skims the document

3. Agreement to term (§ 305 II BGB) ()

- B signed the document

4. No preceding individual agreement (§ 305b BGB) ()

- No evidence that B and D entered into a personal agreement

5. No surprising clause (§ 305c I BGB) ()

= Clause that is according to the situation so unexpected that customer must have not expected the clause under any circumstance

Pro surprising	Con surprising
A buyer expects the seller to deliver the purchased good without causing damages	Understandable interest of the seller to reduce liability
	Exclusion does not concern the purchased good itself
→ Arguments against surprising outweigh	

6. Interim result: Incorporated SBT (+)

III. Passing the content control (§§ 307 et seqq. BGB) ()

1. Opening of content control (§ 307 III BGB) ()

= Standard business terms are subject to a content control, if they differ from what is protected under legal provisions

- Principle: Liability in case of negligence and intent (§§ 280 I 2, 276 BGB)
- SBT: Liability for damages caused in the framework of the delivery is excluded except for liability in case of intent

“6.1.: Any liability for damages caused in the framework of the delivery of the good is excluded. An exception is made for the liability in cases of intent.”

2. Clauses without valuation possibility (§ 309 BGB) ()

§ 309 No. 7 BGB

Prohibited clauses without the possibility of evaluation

Even to the extent that a deviation from the statutory provisions is permissible, the following **are ineffective** in standard business terms:

[...]

7. (Exclusion of liability for injury to life, body or health and in case of gross fault)

a) (**Injury to life, body or health**) any exclusion or limitation of liability for damage from injury to life, body or health due to negligent breach of duty by the user or intentional or negligent breach of duty by a legal representative or a person used to perform an obligation of the user;

b) (**Gross fault**) any exclusion or limitation of liability for other damage arising from a grossly negligent breach of duty by the user or from an intentional or grossly negligent breach of duty by a legal representative of the user or a person used to perform an obligation of the user;

Case 1 – Solution

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a) Exclusion for injury to life, body or health (§ 309 No. 7 a) BGB) ()

- Any liability for damages is excluded
- Also for life, body and health

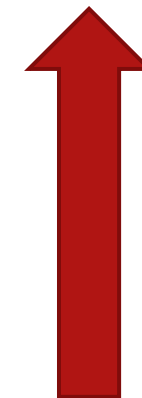
b) Exclusion for gross negligence (§ 309 No. 7 b) BGB) ()

- Only an exception for intent is made

c) Interim result:

Clause passes § 309 BGB (-)

Clause passes content control (-)



Intent

Gross negligence

Slight negligence

IV. Legal consequence

- Clause is ineffective, § 309 BGB
- Rest of the contract is effective, § 306 I BGB
- Ineffective clause is replaced by statutory provisions, § 306 II BGB
- General standard of responsibility (§§ 280 I 2, 276 BGB) applies

V. Result: Effective standard business terms (-)

Case 2a) – Case facts

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Car owner (O) wants to get his car washed in a car wash operated by W. O passes a sign in front of the car wash that was already there during his last three washes. The sign is clearly readable and states:

“We are not liable for damage to the paintwork caused by the customer's failure to properly operate the car wash.”

O does not pay attention to the sign. However, he pays the price and goes through with the car wash.

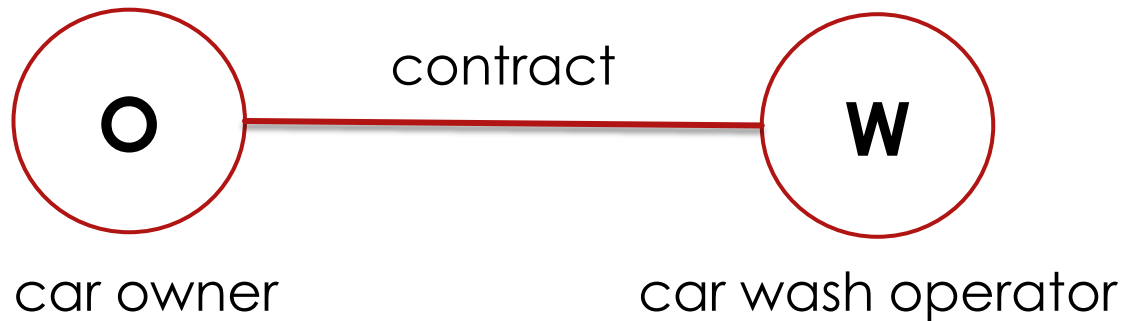
Question: Did W use effective standard business terms?

Note: Assume that the content control is opened

Problem?

Case 2a) – Sketch

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“We are not liable for damage to the paintwork, caused by the customer's failure to properly operate the car wash.”

effective?

- **Question:** Did W use effective standard business terms?

A. Effective standard business terms (§§ 305 et seqq. BGB)

I. Existence of standard business terms (§ 305 I 1 BGB) ()

= Standard business terms are all contract terms pre-formulated for more than two contracts which one party to the contract (the user) presents to the other party upon the entering into of the contract (§ 305 I 1 BGB)

1. Contract term ()

- O would like to have his car washed at W's car wash
- This is a works contract § 631 BGB
- The clause could modify this works contract

Case 2a) – Solution

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2. Pre-formulated ()

- W has previously written the terms on a sign
- O had no influence on these clauses

3. For more than two contracts ()

- The sign was at least used three times with O and probably even more often with other customers

4. Presented ()

- W did not explicitly tell O about the terms
- However W provided a sign with the terms in front of the car wash

5. Interim result: Existing SBT (+)

II. Incorporation of standard business terms into the contract ()

1. Reference (§ 305 II No. 1 BGB) ()

a) Explicitly (Alt. 1) ()

- W made no explicit reference to the terms towards O

b) Clearly visible notice (Alt. 2) ()

aa) Explicit reference is possible only with disproportionate difficulty ()

- A car wash is operated with self-service
- It is not reasonable for W to address each customer personally

Case 2a) – Solution

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bb) Clearly visible notice at the place where the contract is entered into ()

- W put a sign in front of the car wash
- This sign was clearly readable

cc) Interim result:

- Clearly visible notice (+)
- Reference (+)

2. Opportunity to take notice in an acceptable manner (§ 305 II No. 2 BGB) ()

- O does not pay attention to the sign
- Still, he had the opportunity to stop and read it

Case 2a) – Solution

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3. Agreement to term (§ 305 II BGB) ()

- Not explicitly but implicitly
- O went through the car wash

4. No preceding individual agreement (§ 305b BGB) ()

- No evidence that O and W entered into a personal agreement

5. No surprising clause (§ 305c I BGB) ()

- Clause is not extremely unlikely to be expected

6. Interim result: Incorporated SBT (+)

III. Passing the content control (§§ 307 et seqq BGB) ()

1. Opening of content control § 307 III BGB ()

- Case note

“We are not liable for damage to the paintwork, caused by the customer's failure to properly operate the car wash.”

Case 2a) – Solution

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2. Clauses without valuation possibility (§ 309 BGB) ()

- The clause is carefully worded

a) Exclusion for injury to life, body or health (No. 7a)) ()

- Liability is only excluded for damage to the paintwork

b) Exclusion for gross fault (No. 7b)) ()

- The clause limits the exclusion to damages caused by the customer's failure to properly operate the car wash

c) Interim result

Clause passes § 309 BGB ()

3. Clauses with valuation possibility (§ 308 BGB) ()

- No case group is relevant

4. Test of reasonableness of clauses (§ 307 II BGB) ()

§ 307 II BGB

Test of reasonableness of contents

(2) An **unreasonable disadvantage** is, in case of doubt, to be assumed to exist if a provision

1. is **not compatible with essential principles** of the statutory provision from which it deviates, or

2. **limits essential rights or duties** inherent in the nature of the contract to such an extent that attainment of the purpose of the contract is jeopardised.

4. Test of reasonableness of clauses (§ 307 II) ()

Pro unreasonable disadvantage	Con unreasonable disadvantage
Expectation that car is washed without any damage	However, damages caused by the customer's failure to properly operate the car wash should not be the car wash owner's responsibility
Car wash owner has better insurance	
Generally, the customers' protection prevails	

IV. Result:

Clause passes content control (+)

Effective standard business terms (+)

Case 2b) – Case facts

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Car owner (O) wants to get his car washed in a car wash operated by W. O passes a sign in front of the car wash that was already there during his last three washes. The sign is clearly readable and states:

“We are not liable for damage to the paintwork, caused by the customer's failure to properly operate the car wash.”

O does not pay attention to the sign. However, he pays the price and goes through with the car wash. During the wash, a roller causes damage to the car's paintwork. The cause is an incorrect setting during W's last check of the car wash.

O demands compensation from W. W rejects this with reference to the sign with his general terms and conditions.

Question: Does O have a claim for damages against W?

Problem?

Case 2b) - Introduction to damage claims

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§ 280 I BGB

Damages for breach of duty

(1) ¹If the debtor **breaches** a **duty arising from the obligation**, the creditor may demand damages for the **damage caused** thereby.

²This does not apply if the debtor is not **responsible** for the breach of duty.

Basic damage claim

- I. Contractual obligation
- II. Breach of duty
- III. Responsibility of debtor
- IV. Causal damage
- V. Legal consequence (§§ 249 et seqq. BGB)

A. Claim for damages of O against W

O could have a claim for damages amounting to the value of the paintwork's damage from W pursuant to §§ 280 I, 241 II BGB.

I. Contractual obligation ()

- Works contract (§ 631 BGB)

§ 241 BGB

Duties arising from an obligation

(1) ¹By virtue of an obligation a creditor is entitled to claim **performance** from the debtor. ²The performance may also consist in forbearance.

(2) An obligation may also, depending on its contents, oblige each party **to take account of the rights, legal interests and other interests of the other party.**

II. Breach of duty ()

1. Duty to perform (§ 241 I BGB) ()

- W was required to provide a proper car wash for O
- No signs that car wasn't clean after the wash

2. Ancillary duty (§ 241 II BGB) ()

- W must take into account the rights, legal interests and other interests of O
- W didn't do so by damaging the paintwork of O's car

§ 276 BGB

Responsibility of the debtor

- (1) ¹The debtor is responsible for **intention and negligence** [...].
- (2) A person **acts negligently if** he fails to exercise reasonable care.
- [...]

III. Responsibility of debtor (§ 280 I 2 BGB) ()

1. Principle ()

= Presumption that person causing damage is responsible (§ 280 I 2 BGB)

2. Intention (§ 276 I 1 Hs. 1 BGB) ()

- W had no intention to harm O
- On the contrary, W wanted to offer a good service

3. Negligence (§ 276 I 1 Hs. 1 BGB) ()

= A person acts negligently if he fails to exercise reasonable care (§ 276 II BGB)

Pro negligence	Con negligence
W set the rollers incorrectly	W checked the car wash
Value of cars requires to take extra care	
Regular inspections don't take too much time	

4. Interim result: Responsibility (+)

Case 2b) - Solution

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IV. Causal damage ()

- Paintwork of O's car is damaged due to the incorrect setting of the roller made by W

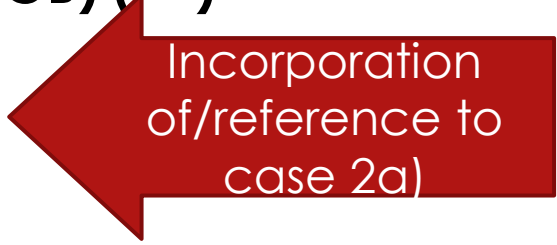
V. Interim Result

VI. Exclusion by standard business terms (§§ 305 et seqq. BGB) (+)

a) Effective standard business terms

b) Consequence of standard business terms

- aa) Damage to the paintwork (+)
- bb) Caused by the customer (-)
- cc) Interim result: Exclusion (-)



Incorporation
of/reference to
case 2a)

“We are not liable for damage to the paintwork, caused by the customer's failure to properly operate the car wash.”

VII. Legal consequence

- O can ask for compensation, §§ 249 et seqq. BGB

VIII. Result:

O has a claim for damages amounting to the value of the paintwork's damage from W pursuant to §§ 280 I, 241 II BGB.

Case 3 – Case facts

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The producing company (P) is interested in a machine made by the machine building company (M). After the contract negotiations, M makes an offer on Thursday and refers to its effective standard business terms:

“§ 3 : Payment is due the business day after the conclusion of the contract.”

P accepts the offer on Friday. However, in the same e-mail, P refers to its own effective standard business terms:

“§ 2 : Payment shall be made upon arrival of the goods.”

The next business day, Monday, M ships the machine and reminds P about the outstanding payment. P refuses to pay until the machine has arrived with reference to its standard business terms.

Question: Can M demand payment from P on Monday?

Problem?

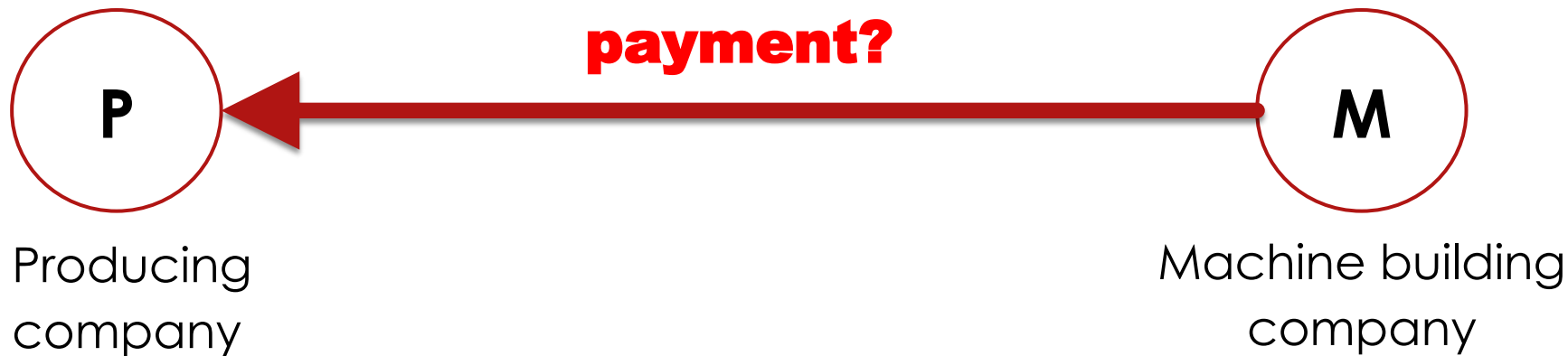
Case 3 – Sketch

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“§ 2 : Payment shall be made upon **arrival of the goods.**”



“§ 3 : Payment is due the **business day after the conclusion of the contract.**”



Question: Can M demand payment from P on Monday?

A. Claim for payment on Monday

M could have a claim for payment for the machine on Monday from P pursuant to § 433 II BGB.

I. Claim arisen (+)

- M and P concluded a purchase agreement, § 433 BGB

1. Principle: Immediately § 271 I BGB

- On the day of the contract conclusion
- Claim would be enforceable since Friday

2. Exception by standard business terms?

a) Effective standard business terms?

- M's SBT : “business day after the conclusion of the contract”
→ On Monday
- P's SBT: “upon arrival of the goods”
→ In the future
- → Conflicting standard business terms

aa) Opinion 1: “Theory of last word”

= The terms to which reference was last made should apply

- M and P both submitted standard business terms
- P would have the last word with its acceptance
- **BUT:** Theory of last word is no longer used
 - It is unreasonable to imply tacit acceptance by the other party, even if the other party has previously expressed an intention to the contrary
 - This view would reward the more persistent contracting party

bb) Opinion 2: Application of statutory provisions

- Offer and acceptance are not totally matching
- In case of a lack of an agreement: No contract
- **BUT:** Exception for conflicting standard business terms
 - § 306 I BGB upholds the contract as special provision
 - § 306 II BGB applies the statutory provision

cc) Interim result: Exception by standard business terms (-)

IV. Result: Claim for payment since Friday (+)

Thank you
for your attention!

